

not know how she could pay for her relatives' debt and the extra expenses of a newborn all by herself.

Maria was so pressed that she even contemplated going back to the Philippines as a way to escape her debt obligations—something she did not want to do. Maria was glad that she was so pregnant they wouldn't allow her to fly in a plane. With no obvious solution, Maria sought out a credit counselor whom she hoped would give her other options.

Maria knew that moving to a foreign country was a huge adjustment. Her first year in America was very hard and she contemplated moving back home almost every day. Knowing this, Maria should have acted like a bail bondsman when deciding to cosign on her relatives' loans. How great of a flight risk were they? Surveys of cosigned loans that go into default show that as many as three out of four cosigners are asked to repay the loan. When you cosign, you are being asked to take a risk that a professional lender wouldn't take. If the borrower had met the criteria and had been a good credit risk, the lender wouldn't have required a cosigner.

Before you decide to cosign, consider the following carefully:

- Be sure you can afford to pay the loan. If you're asked to pay and can't, you could be sued or your credit rating could be damaged.
- Even if you're not asked to repay the debt, your liability for the loan may keep you from getting other credit because creditors will consider the cosigned loan as one of your obligations.
- Before you pledge property to secure the loan, such as your car or furniture, make sure you understand the consequences. If the borrower defaults, you could lose these items.
- Ask the lender to calculate the amount of money you

